

Cultural Sensitivity & Crisis Management: The D&G China Case

Session 6 · Case discussion — when a brand misreads a culture

Case: Hung & Ho (2019), *D&G's Marketing Missteps in China* · with HBR readings by
Molinsky (2013) and Hahn & Molinsky (2018)

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About this session & the readings

One organisational faux pas, and the individual manager's playbook for preventing and recovering from your own. Readings (PDF) are in the course folder.

The case

Hung, K. & Ho, M. (2019). *D&G's Marketing Missteps in China (A)*. Asia Case Research Centre, HKU. · [case-dg-china-marketing-missteps.pdf](#)

Toolkit reading 1 — prepare

Molinsky, A. (2013). "Preparing for Inevitable Cultural Faux Pas." *Harvard Business Review*. · [molinsky-2013-preparing-for-cultural-faux-pas.pdf](#)

Toolkit reading 2 — recover

Hahn, M. & Molinsky, A. (2018). "How to Recover from a Cultural Faux Pas." *Harvard Business Review*. · [hahn-molinsky-2018-recover-from-cultural-faux-pas.pdf](#)

Learning objectives

- Explain why **humour and cultural elements** in advertising are high-risk across cultures.
- Use the **three Ms** (matter, media, manner) to diagnose an offensive campaign.
- Apply a **crisis-management** lens — the three phases, speed, and “stealing thunder.”
- Use **attribution theory / SCCT** to match a repair strategy to the type of crisis.
- Translate the lesson to the **individual** level: prepare for and recover from your own faux pas.
- Connect all of this back to **culture** — Hall, Hofstede and Meyer from earlier sessions.

Watch first: the campaign that started it

Play the videos before we analyse them — watch your own reaction. D&G removed the originals; these are the third-party re-uploads cited in the case.

VIDEO 1 · THE CAMPAIGN

“Eating with Chopsticks” — the three episodes

A Chinese model eats pizza, cannoli and spaghetti with chopsticks as a narrator looks on.

<https://www.youtube.com/watch?v=TBFC5isQuYA>

VIDEO 2 · BACKUP MIRROR

The same three-part series (mirror copy)

Use if Video 1 is down. Watch for the details — the mispronunciation, the tone, the wrong Shanghai character.

<https://www.youtube.com/watch?v=29AfMJymGu8>

VIDEO 3 · THE CONTRAST

#DGLovesJapan — the campaign that worked

Same brand, same idea of blending cultures — but warmly received. Why the difference? (Search this title if the link has moved.)

<https://www.youtube.com/watch?v=bJXq3EVzd9g>

Video 1 cited in Hung & Ho (2019) and verified live; the originals were removed by D&G, so these are third-party re-uploads. If a link has moved, search the titles above.

THE CASE — SETUP

D&G's Marketing Missteps in China

18 November 2018 — three videos, and 24 hours to a full-blown crisis



D&G — brand snapshot

- Italian luxury house founded in **1985 in Milan** by Domenico Dolce and Stefano Gabbana; built on “Sicily, tailoring and tradition.”
- **Privately owned** — no external investors, so the founders design for the ultra-wealthy and “indulge their creative fantasies.”
- **Vertically integrated:** design, manufacturing and distribution in-house, with its own global store network.
- Revenue ≈ **€1.29 bn** (FY2018, flat year-on-year); net profit €60.5 m, down from €80 m the year before.
- The founders — especially Stefano Gabbana — were **active and outspoken** on social media.

D&G in China — a market it could not afford to lose

- Entered mainland China in **2005** — the first Italian fashion company licensed to operate **without a local joint venture**.
- First flagship in **Hangzhou** (2005); by 2018, **40+ boutiques** across Greater China.
- China was both a key **market** and a source of **design inspiration** (the Chinese Palace collection, the qipao; ambassadors Karry Wang & Dilraba).
- Chinese shoppers were the **world's biggest luxury buyers** — about **one-third of global luxury spending** and ~65% of its projected growth to 2025 (McKinsey, 2019).
- Analysts' warning: up to **~30% of D&G's revenue** could be at risk if a China crisis were mishandled.

The campaign: #DGLovesChina — “Eating with Chopsticks”

18 NOVEMBER 2018 · THREE SHORT VIDEOS TO PROMOTE THE FIRST-EVER SHANGHAI CATWALK (21 NOV)

- A Chinese model in a D&G sequined dress struggles to eat **pizza, cannoli and spaghetti with chopsticks**, against red lanterns and traditional music.
- A male narrator **lectures** her in a mocking tone — “Is it too big for you?” — and repeatedly mispronounces “Dolce” as “**Dos.**”
- Posted on Instagram, Facebook, Twitter **and Weibo**; hashtags #DGLovesChina and #DGTheGreatShow.
- Intended as **light comedy** — “an homage to China.” The reaction was the opposite.
- Under public pressure, D&G pulled the videos from Weibo within **24 hours** — but left them on Western platforms.

Four questions frame our discussion

We work through the case in four moves — each part of the deck answers one question.

QUESTION 1

Why were the videos offensive?

The joke, the misreadings, and whether it could have been done better.

QUESTION 2

Humour and the brand

The advantages and risks of humour — and how to turn it around.

QUESTION 3

Crisis communication

How D&G responded, what it should have done, and how to prevent a recurrence.

QUESTION 4

Repair & rebuild

Repairing the damage and rebuilding the brand's long-term image in China.

QUESTION 1

Why Were the Videos Offensive?

The intended joke, why China received it so differently — and whether it could have been done better



The cultural misreadings

- **Chopsticks are a cultural symbol** — a Chinese invention taught from childhood. “Playing” with them reads as **disrespect**, not comedy.
- The model’s eyes were **artificially narrowed** — an **Asian stereotype** — and “is it too big for you?” carried a **sexist** undertone.
- The **condescending narrator** implied Chinese food and chopsticks were **inferior** to Italian cuisine and the fork.
- Mispronouncing “Dolce” as “Dos” **mocked the Chinese accent**; the on-screen “Shanghai” even used a wrong **Japanese kanji** font.
- **Outdated orientalism** (red lanterns) ignored modern, cosmopolitan China — “this is definitely not what China looks like now.”
- Historical irony: pasta is widely believed to **descend from Chinese noodles** (via Marco Polo).

Intended vs. received meaning

A brand controls the message it **sends**, not the meaning the audience **makes** — and meaning is made through culture.

Element	What D&G intended	How China received it
Chopsticks + Italian food	Playful East-meets-West comedy	Mockery of a treasured cultural symbol
The narrator	Charming, tongue-in-cheek guide	Arrogant, colonial, talking down
The model	Endearing, curious protagonist	A demeaning Asian stereotype
“DGLovesChina”	A love letter / homage to China	“They’ll take our money but look down on us”
Traditional imagery	Respectful nod to heritage	Outdated, patronising view of a modern nation

Based on Hung & Ho (2019). Culture provides the schema through which audiences interpret advertising.

Diagnosing the offence — the three Ms

Controversial ads deliberately court strong emotion. Their offensiveness turns on three things (Prendergast & Ho, 2006).

Matter

What is advertised. Luxury fashion is not inherently offensive — so this was not the problem here.

Media

Where it runs. The more **public** the medium, the lower the tolerance — and global social media is as public as it gets.

Manner

How it is conveyed — **the decisive factor**. People are offended more by manner than by matter. D&G's manner was the whole problem.

D&G's offence lived entirely in the **manner**: silliness, sexual undertones and a condescending tone — broadcast on the most public of media.

Culture as the schema for meaning

- **Culture is the schema** audiences use to decode an ad — the same 30 seconds means different things in Milan and Shanghai.
- **High-context, collectivist** audiences (China) are **more critical** of sexual or socially negative appeals than low-context, individualist ones.
- Viewers judge offensiveness through their **cultural identity** — endorsing the video would have meant betraying it.
- This is Hall, Hofstede and Meyer in action: **power distance, high/low context and “face”** all shaped the reaction.
- **Could it be done better?** Yes — same brand, same idea, done with **relevance and respect** (see the #DGLovesJapan contrast). We return to this under Question 2.

QUESTION 2

Humour and the Brand

Why humour fits — and endangers — a luxury brand, and how to turn the joke around



Humour in advertising — a double-edged sword

Humour can be powerful — but every advantage has a matching risk that grows when the ad crosses cultures.

Potential advantages	Risks — especially across cultures
High message retention	It is genuinely hard to be funny
Grabs and holds attention	If the joke misfires, the audience feels insulted
Creates a positive mood toward the brand	Humour does not build source credibility
Distracts from counter-arguing the ad	May be wrong for a prestige / luxury product
	Humour is subjective and deeply culture-bound

Dahlen, Lange & Smith (2010); Tom & Catanescu (2001), via Hung & Ho (2019).

Turning the joke around

- Effective creativity needs **both** divergence **and** relevance: novel *and* meaningful, appropriate and valuable to **this** audience.
- D&G had plenty of divergence — but almost **no relevance** to how Chinese viewers see themselves.
- **Turn the joke on yourself.** Show a Western man clumsily eating Chinese soup with a knife — poke fun at **Italian**, not Chinese, culture.
- Tellingly, exactly such a **reverse parody** circulated on Weibo *after* the crisis — and Chinese audiences loved it.
- **Rule of thumb:** when using humour or cultural elements abroad, run it past **local eyes** before launch — test for offence on safe channels first.

QUESTION 3

How Effective Was the Crisis Response?

What D&G did, what the moment demanded, and how to prevent a recurrence



The response — and the clock

What D&G did

Pulled the videos from **Weibo only** — no statement, no apology. Left them live on Western platforms. Then **let the debate simmer** for days as the catwalk approached.

What the moment demanded

The Shanghai show was **days away**. Up to **~30% of revenue** was exposed. China expected a **fast, sincere** response that showed the brand understood *why* people were hurt.

The decision point (Case A): a formal apology — now? On which channels? Said how? And should the show go on?

Not the first time — a pattern of missteps

- **2012 — Hong Kong.** Guards barred locals from photographing the Canton Road store → protests; a formal apology came only after ~**10 days**.
- **2016 — spring campaign.** Chinese “tourists” taking selfies and shopping stirred unease about how China was portrayed.
- **2017 — #DGLovesChina hutong shoot.** Models beside poor locals in old alleys near Tiananmen — “it almost looks like North Korea!” A clash with the concept of **face**.
- **2018 — the videos.** The same blind spot, now amplified — and the founder had a track record of **controversial public remarks**.
- **Pattern, not accident:** a repeated failure to see modern China — and, as we will see, an **intensifying factor** in the crisis.

The three phases of crisis management

Crisis management is not one moment of response — it is three phases (Coombs). Most of the work happens before and after.

1

Pre-crisis — prevention & preparation

Anticipate crises, build a plan and a team, pre-draft messages, train spokespeople, connect local teams to HQ. D&G had little of this.

2

Crisis response — react

Respond in the first hour: fast, accurate, consistent, and full of genuine concern for those hurt. This is where D&G stumbled badly.

3

Post-crisis — learn & rebuild

Follow through on promises, repair the reputation, and prepare better for the next one.

Speed, silence and “stealing thunder”

- A good initial response is **fast, accurate and consistent** — and expresses **concern** for those affected.
- **Silence is not neutral.** It lets others control the story and signals you have not grasped the situation.
- **Stealing thunder:** be the **first** to report and frame your own crisis — it measurably reduces reputational damage.
- **Social media compress the clock:** even a single “wrong” customer can turn a complaint into a movement within hours.
- **D&G’s failures:** a Weibo-only takedown, no timely statement, no local spokesperson, days of silence, and a late apology that felt **forced and insincere**.

Attribution & SCCT: match the repair to the crisis

Situational Crisis Communication Theory: the more the public blames **you**, the more accommodative your response must be.

Victim

Minimal responsibility — e.g. rumours, natural disasters. Instructions + care.

Accident

Low responsibility — technical error, a challenge. Add excuse / justification.

Preventable

Strong responsibility — organisational misdeed, human error. Needs **apology and/or compensation**.

D&G's scandal was a **preventable crisis** → strong responsibility. Worse, **intensifying factors** — a history of offending China and a controversial founder — magnified the threat. Excuses were never going to be enough; only **apology + compensation + genuine care** could work.

Preventing a recurrence

- **Plan before the crisis:** a crisis-management plan, a named team (incl. a social-media manager), and **pre-drafted** message templates.
- **Connect local and HQ:** D&G's China team could not act; internal communication with Milan broke down.
- **Empower local voices:** encourage local staff to **speak up**, not passively follow global guidelines.
- **Test with local eyes:** put any campaign using humour or cultural content in front of **third-party** local reviewers.
- **Integrate social media** into every crisis scenario — monitor, respond in the right tone, on all channels, 24/7 if needed.
- **Be humble; act right away.** Listen first, acknowledge quickly, and treat even angry customers with care.

QUESTION 4

Repairing and Rebuilding in China

From reputation-repair strategies to a long-term way back into the market



Reputation-repair strategies — and what D&G needed

Benoit & Coombs' master list runs from defensive to accommodative. A preventable crisis calls for the accommodative end.

Strategy	What it means	Fit for D&G?
Deny / attack accuser	"There is no crisis" / confront the critic	No — only for rumours
Scapegoat / excuse	Blame others; deny intent to harm	No — reads as evasion
Justification	Minimise the perceived damage	No — dismisses real hurt
Compensation	Offer gestures of goodwill to those harmed	Yes — signals sincerity
Apology	Take full responsibility; ask forgiveness	Yes — the core response

Benoit (1995, 1997); Coombs (2007), via Hung & Ho (2019).

Rebuilding the brand in China

- **Localise the response:** use a Chinese PR agency and let **local staff lead** authentic, culturally fluent campaigns.
- **Test before you launch:** put every campaign with humour or cultural content in front of **third-party local reviewers**.
- **Empower local voices:** encourage local teams to **speak up** rather than passively follow global guidelines.
- **Balance global and local:** keep brand consistency, but drop the paternalistic, one-size-fits-all approach.
- **Diversify the team:** hire local talent and run internal **cultural-sensitivity training** — starting at the top.
- **Rebuild relationships** with consumers, retailers, celebrities, media and government — reputation is a long game.

What happened next — beyond the (A) case

THE CRISIS THE CASE STOPS JUST SHORT OF · 2018–2021

- **21 Nov 2018 — the messages.** Screenshots of Instagram DMs attributed to Stefano Gabbana insulting China leaked (via Diet Prada); D&G said both accounts were “hacked” — few believed it.
- **21 Nov 2018 — the show is cancelled** hours before showtime; models and brand ambassador Wang Junkai (Karry Wang) walked away.
- **21–23 Nov 2018 — delisted.** Chinese e-commerce platforms — Tmall, JD.com, Kaola, Vipshop, Secoo, Yoox — pulled D&G products.
- **23 Nov 2018 — the apology.** Dolce and Gabbana posted a ~90-second Weibo video, ending with both saying “对不起” (*duìbuqǐ*, “sorry”).
- **2019–2021 — no way back yet.** D&G sued Diet Prada in Milan (outcome unresolved); the 2021 Karen Mok backlash (~490 m Weibo views for merely wearing the brand) showed China had not forgiven it.

Sources: CNN Style, Fortune, SCMP, Business of Fashion, NBC News, China Daily (2018–2021). This is beyond the (A) case — full list on the references slide.

FROM THE FIRM TO THE INDIVIDUAL

When You Make the Mistake

Molinsky (2013) and Hahn & Molinsky (2018): prepare for — and recover from — your own faux pas



Prepare: have a “forgiveness strategy”

Mohammed, trained in deferential Saudi manners, came across as “weak” in a New York interview. We all slip abroad — so plan for it (Molinsky, 2013).

Shape how it is read

Make your slip look like an **honest mistake by someone trying** — not proof you don’t care.

Build swift trust

Show **authentic** interest in their culture. Learn how trust is actually built in that setting.

Find a cultural mentor

A trusted local guide can **coach you ahead** of the moments that really count.

You already have a strategy for **learning** a new culture. Do you have a strategy for being **forgiven** in it?

Recover: a five-step process

Mistakes are inevitable, so turn them into learning (Hahn & Molinsky, 2018).

1

Ditch the obsession with performance

Swap a “performance mindset” for a **learning mindset** (Dweck). Stop catastrophising — mistakes are the raw material of learning.

2

Equip yourself with knowledge

Learn the norms — and how people in this culture **react to** mistakes. Invest in relationships **before** you need them.

3

Keep your cool

Assess the damage; if an apology is due, deliver one close to the local norm. A prior bond makes forgiveness far easier.

4

Engage in self-reflection

Ask: what did I do, how did they react, what did I miss, what would I do differently? Write it down.

5

Get feedback

Ask trusted locals what you’re missing; rehearse before high-stakes moments; lean on — don’t hide — your foreignness.

Performance mindset vs. learning mindset

Performance mindset

Mistakes = proof of your limits.

Thinking **constricts**; you become stiff and inauthentic.

Catastrophizing: “If I bow the wrong way, I’ll blow the deal!”

Learning mindset

Mistakes = chances to improve.

You stay **loose, curious and authentic** — which is what actually builds relationships.

Improvement takes time, and will involve slip-ups along the way.

The same idea scales up: D&G defended its “performance”; a learning organisation would have listened, reflected and adapted.

Key takeaways

- **Culture makes the meaning.** You control the message you send, never the meaning the audience makes — so test with local eyes.
- **Humour and cultural elements are high-risk abroad;** judge the **manner**, not just the matter, and be ready to poke fun at yourself.
- **In a crisis, speed and sincerity win.** Be first to frame it, apologise fully for a preventable crisis, and show genuine care.
- **Empower local voices** and prepare before the crisis — a plan, a team, and people who can say “this won’t work here.”
- **At the individual level,** carry a forgiveness strategy and a learning mindset — prepare for, and recover from, the faux pas you *will* make.

In-class activity: draft D&G's response

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: put the crisis-communication frameworks to work under time pressure.

- 1 You are D&G's **crisis team**, 24 hours after the videos. Classify the crisis (SCCT) and name the **intensifying factors**.
- 2 Draft a **90-word public statement** for Weibo: fast, accurate, consistent — and full of genuine care.
- 3 Decide: does the Shanghai show **go ahead**? On which **channels** do you respond, and who is your **spokesperson**?
- 4 Name **two prevention measures** so this can't recur — and connect one to your own market-entry group assignment.

Be ready to read your statement aloud — the class will judge whether it “steals thunder” or fans the flames.

Further sources

Beyond the case and teaching note — for the crisis outcome and the market context.

The crisis & its aftermath (2018–2021)

CNN Style (2018). *D&G cancels Shanghai show amid ‘racist’ ad controversy*.
Fortune (2018). *Online stores in China are dumping Dolce & Gabbana*.
South China Morning Post (2018). *Chinese e-commerce sites remove D&G products*.
NBC News / China Daily (2018). *D&G founders’ video apology*.
Business of Fashion (2018). *Assessing the damage after the D&G uproar*.
BoF & CNN Style (2021). *Chinese netizens still haven’t forgiven D&G* (Karen Mok).

Market data & frameworks

McKinsey (2019). *China Luxury Report* — Chinese consumers $\approx$ one-third of global luxury spending; $\sim 65\%$ of growth to 2025.
Bain & Company. *What’s powering China’s market for luxury goods*.
Coombs, T. *Crisis Management & Communications* (SCCT), Institute for Public Relations.
Benoit, W. L. (1995). *Accounts, Excuses, and Apologies* — image restoration.
Prendergast & Ho (2006). *Offensive advertising* — the three Ms.



DEPARTMENT OF GLOBAL TRADE · WU VIENNA

Dr. Arne Floh

Senior Lecturer in International Marketing
Deputy Program Director MSc Export- and Internationalisation Management

arne.floh@wu.ac.at

Welthandelsplatz 1, 1020 Wien, Austria

www.wu.ac.at